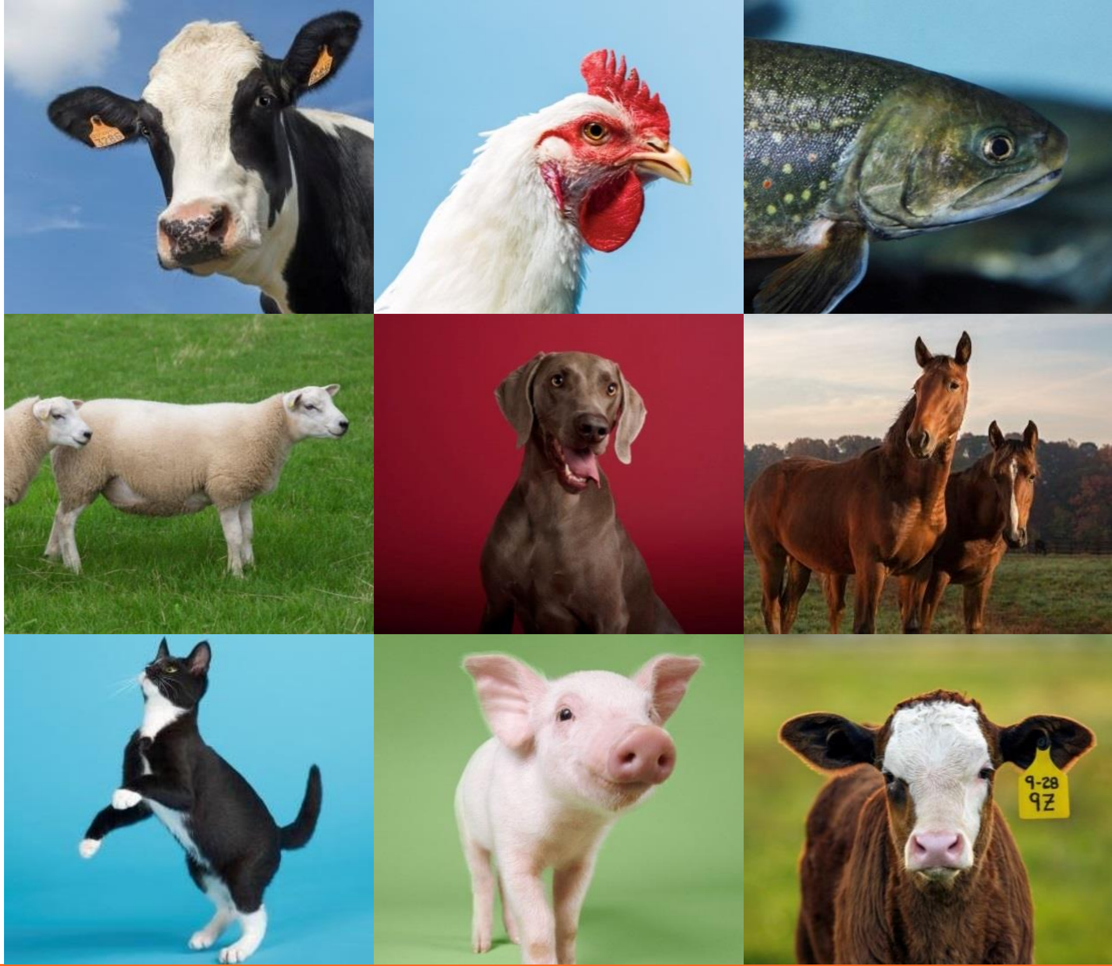
SECOND QUARTER 2018 FINANCIAL RESULTS

August 2, 2018



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FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to business plans or prospects, future operating or financial performance, future guidance, future operating models, expectations regarding products, expectations regarding the performance of acquired companies and our ability to integrate new businesses, expectations regarding the financial impact of acquisitions, future use of cash and dividend payments, tax rate and tax regimes, changes in the tax regimes and laws in other jurisdictions, and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our most recent Annual Report on Form 10-K, including in the sections thereof captioned "Forward-Looking Statements and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income, adjusted diluted earnings per share, adjusted operating expenses, adjusted gross margin, organic operational growth, and operational results (which excludes the impact of foreign exchange) to assess and analyze our results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our earnings release and are posted on our website at www.zoetis.com.

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JUAN RAMÓN ALAIX
CHIEF EXECUTIVE OFFICER

KEY CEO TAKEAWAYS

STRONG FIRST HALF RESULTS; UPDATED GUIDANCE

- Generated 9% operational[1] growth in revenue for the second quarter, with 37% operational increase in adjusted net income[2]
- Companion animal business remained largest driver of growth, with strong performance across both U.S. and International
- In-line portfolio, including key dermatology products, demonstrated solid growth, with new products contributing strong performance across both companion animal and livestock
- Updated full-year guidance: maintained high end of revenue range at $5.8B, and increased lower end of range to $5.7B; maintained high end of adjusted diluted EPS[2] range at $3.10 and increased low end of the range to $3.00

INVESTING IN LONG-TERM GROWTH DRIVERS

- Completed acquisition of Abaxis to strengthen diagnostics portfolio
- Continue investing in internal R&D and external partnerships for innovation in new parasiticide combinations, vaccines and monoclonal antibodies, including a collaboration agreement with Regeneron Pharmaceuticals

[1]Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.
[2]Adjusted net and adjusted diluted earnings per share income (non-GAAP financial measure) are defined as reported U.S. generally accepted accounting principles (GAAP) net income and diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

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GLENN DAVID
CHIEF FINANCIAL OFFICER

INCOME STATEMENT HIGHLIGHTS

	Second Quarter		
	2018*	2017*	Change
Revenue	$1,415	$1,269	12%
Reported Net Income	384	247	55%
Reported Diluted Earnings Per Share	$0.79	$0.50	58%
Adjusted Net Income[1]	375	261	44%
Adjusted Diluted EPS[1,2]	$0.77	$0.53	45%

* Millions of dollars, except per share data

[1]Adjusted net income and adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.
[2]Adjusted diluted EPS reported growth of 45% includes 7% favorable foreign exchange impact, and operational growth of 38%.

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ADJUSTED INCOME STATEMENT HIGHLIGHTS

	Second Quarter				
	2018*	2017*	Change	Foreign Exchange	Operational[1]
Revenue	$1,415	$1,269	12%	3%	9%
Adjusted Cost of Sales[2]	443	437	1%	-	1%
as a percent of revenue[3]	*31.3%*	*34.4%*	*NA*	*NA*	*NA*
Adjusted SG&A Expenses[2]	357	333	7%	2%	5%
Adjusted R&D Expenses[2]	102	86	19%	3%	16%
Adjusted Operating Expenses[4]	463	424	9%	2%	7%
Effective Tax Rate on Adjusted Income[2]	20.1%	28.9%	NA	NA	NA
Adjusted Net Income[2]	375	261	44%	7%	37%

* Millions of dollars

NA – Not applicable

[1]Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

[2]Adjusted net income and its components (non-GAAP financial measures) are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components, excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted tax expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

[3]Adjusted gross margin (a non-GAAP financial measure) was 68.7% in the second quarter of 2018, and 65.6% in the second quarter of 2017.

[4]Adjusted operating expenses (a non-GAAP financial measure) of $463 million in the second quarter of 2018, and $424 million in the second quarter of 2017 include adjusted amortization of intangible assets of $4 million in 2018 and $5 million in 2017.

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US SEGMENT PERFORMANCE

	Second Quarter				
	2018*	2017*	Change	Foreign Exchange	Operational[1]
Revenue	$677	$623	9%	-	9%
Livestock	271	269	1%	-	1%
Companion Animal	406	354	15%	-	15%
Cost of Sales	140	134	4%	-	4%
Gross Profit	537	489	10%	-	10%
Gross Margin	*79.3%*	*78.5%*	*NA*	-	*NA*
Operating Expenses	116	113	3%	-	3%
Other (Income)/Deductions	-	-	-	-	-
Earnings[2]	421	376	12%	-	12%

* Millions of dollars, NA – Not applicable

[1]Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.
[2]Defined as income before provision for taxes on income.

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INTERNATIONAL SEGMENT PERFORMANCE

	Second Quarter				
	2018*	2017*	Change	Foreign Exchange	Operational[1]
Revenue	$728	$634	15%	5%	10%
Livestock	463	420	10%	4%	6%
Companion Animal	265	214	24%	7%	17%
Cost of Sales	229	219	5%	4%	1%
Gross Profit	499	415	20%	5%	15%
Gross Margin	*68.5%*	*65.5%*	*NA*	*NA*	*NA*
Operating Expenses	147	126	17%	5%	12%
Other (Income)/Deductions	2	2	-	(44)%	44%
Earnings[2]	350	287	22%	6%	16%

* Millions of dollars, NA – Not applicable

[1]Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.
[2]Defined as income before provision for taxes on income.

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INTERNATIONAL MARKET REVENUE

	Second Quarter				
	2018*	2017*	Change	Foreign Exchange	Operational[1]
Total International	$728	$634	15%	5%	10%
Australia	51	43	19%	3%	16%
Brazil	68	73	(7)%	(7)%	-
Canada	56	49	14%	7%	7%
China	60	45	33%	10%	23%
France	30	26	15%	12%	3%
Germany	38	33	15%	10%	5%
Italy	26	21	24%	15%	9%
Japan	39	36	8%	3%	5%
Mexico	26	21	24%	2%	22%
Spain	30	23	30%	14%	16%
United Kingdom	36	26	38%	15%	23%
Other Developed	89	76	17%	8%	9%
Other Emerging	179	162	10%	1%	9%

* Millions of dollars

[1]Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

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2018 GUIDANCE EXTERNAL

Selected Line Items (millions of dollars, except per share amounts)	**May Guidance**	**August Guidance**[1]	**FX**
Revenue *Operational growth*[2] *Organic Operational growth*[3]	$5,675 to $5,800 *5% to 7%* *5% to 7%*	$5,700 to $5,800 *7% to 9%* *5% to 7%*	*(125)*
Adjusted cost of sales as a percentage of revenue[4]	Approximately 32%	Approximately 32%	
Adjusted SG&A expenses[4]	$1,370 to $1,420	$1,410 to $1,450	(25)
Adjusted R&D expenses[4]	$400 to $420	$415 to $430	(5)
Adjusted interest expense and other (income) / deductions[4]	Approximately $190	Approximately $200	
Effective tax rate on adjusted income[4]	21% to 22%	Approximately 20%	
Adjusted diluted EPS[4]	$2.96 to $3.10	$3.00 to $3.10	(.07)
Adjusted net income[4] *Operational growth*[2,5]	$1,450 to $1,520 *20% to 26%*	$1,460 to $1,510 *23% to 27%*	(35)
Certain significant items and acquisition-related costs[6]	$20 to $40	$65 to $90	
Reported diluted EPS	$2.77 to $2.93	$2.72 to $2.89	

Exchange rates as of mid-July

[1]This guidance reflects the inclusion of Abaxis results for the last 5 months of the year in the U.S., and 4 months internationally, based on our preliminary estimates including with respect to certain significant items, acquisition-related costs and purchase accounting adjustments. The actual impact of the acquisition on our financial results could differ materially from these estimates.

[2]Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

[3]Organic operational growth (a non-GAAP financial measure) excludes the impact of the acquisition of Abaxis as well as foreign exchange.

[4]Adjusted net income and its components and adjusted diluted EPS are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted interest expense and other (income)/deductions are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure. Effective tax rate on adjusted income (a non-GAAP financial measure) equals the adjusted provision for taxes on income (a non-GAAP financial measure) divided by adjusted income before provision for taxes on income (a non-GAAP financial measure). Adjusted net income and its components, adjusted diluted EPS, and the effective tax rate on adjusted net income, are presented solely to permit investors to more fully understand how management assesses performance. Adjusted net income and its components and adjusted diluted EPS are not, and should not be viewed as, substitutes for U.S. GAAP net income and its components and diluted EPS.

[5]We do not provide a reconciliation of forward-looking non-GAAP adjusted net income operational growth to the most directly comparable GAAP reported financial measure because we are unable to calculate with reasonable certainty the foreign exchange impact of unusual gains and losses, acquisition-related expenses, potential future asset impairments and other certain significant items, without unreasonable effort. The foreign exchange impacts of these items are uncertain, depend on various factors, and could have a material impact on GAAP reported results for the guidance period.

[6]Primarily includes certain nonrecurring costs related to the acquisition of Abaxis, restructuring and other charges for the supply network strategy. Excludes potential net gains/losses on sales of assets. The actual impact of the acquisition of Abaxis on our financial results could differ materially from these estimates.

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Q&A

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